OKLO Inc. (OKLO)

Investment Analysis Report: 26 Critical Questions

Report Date: April 15, 2026
Current Price: $63.10 | Market Cap: $11.0B

Disclaimer: For educational purposes only. Not investment advice.

I. REVENUE & BUSINESS MODEL

1. Primary Revenue Driver & % of Total Revenue?
Zero revenue currently. OKLO is pre-commercial. Revenue will come from Power Purchase Agreements (PPAs) selling electricity and heat from Aurora powerhouses (15–75 MWe, potentially 100+ MWe). Secondary streams: nuclear fuel recycling; radioisotope production (via Atomic Alchemy subsidiary). No revenue breakdown applies.

2. Growth Rate / Trajectory?
Not applicable—pre-revenue. No revenue = no CAGR to measure. First deployment target is 2028 (Idaho). Meta prepayment agreement (Jan 2026) signals customer demand and provides construction funding—earliest concrete revenue catalyst. Expected: 5–15 MW capacity online by end of 2028.

3. Main Competitors?
Traditional nuclear: NRG, Exelon (but they build 600+ MWe plants, different market).
Advanced fission startups: TerraPower, X-energy, Commonwealth Fusion Systems.
Competitive position: OKLO has regulatory approvals (DOE site permit, HALEU fuel award, Safety Design Agreement approved early 2026) that competitors lack. **Market share = zero** (no commercial plants yet). First-mover advantage is significant if 2028 deployment succeeds.

4. Competitive Moat?
✓ **Proven tech:** EBR-II legacy; 30-year operational history backing Aurora design.
✓ **Regulatory de-risking:** DOE partnerships, site permits, fuel line pilot program acceleration.
✓ **Vertical integration:** Fuel recycling + fabrication + power generation = supply chain control.
✓ **Customer demand:** Switch (12 GW PPA), Meta, Equinix LOIs signal market pull.
✓ **Modular scalability:** Small-form-factor advantage over traditional 600+ MWe plants for data centers, industrial.

5. Moat Erosion Risks (5 Years)?
✗ Competitors achieve design certification faster.
✗ Construction delays at Aurora-IDL push 2028 to 2029+ (credibility hit).
✗ Fuel supply bottlenecks (HALEU, plutonium availability) if government policy shifts.
✗ Cheaper alternative energy (offshore wind, solar + storage) outcompetes on total cost of ownership.
✗ Regulatory path becomes costlier or slower than expected.

II. FINANCIAL HEALTH

6. Margins (Gross, Operating, Net)?
Gross margin: N/A (no revenue).
Operating margin: –∞ (–$140M operating loss in FY2025; revenues $0).
Net margin: –∞ (–$110M net loss in FY2025).
Peer comparison: Not meaningful (no peers generating revenue from modular reactors yet). Traditional utilities: 30–40% operating margins. OKLO must reach similar levels post-commercialization to justify $11B valuation.

7. Free Cash Flow—Positive? When?
FY2025 FCF: –$120M (negative).
Trajectory: FCF was –$20M (2023) → –$40M (2024) → –$120M (2025). **Accelerating burn.**
When positive? Likely 2029–2030 IF Aurora-IDL operationalizes, achieves 70%+ capacity factor, and PPA pricing covers opex + debt service.
Cash runway: $1.48B equity + $300M ATM proceeds = ~$1.8B. At $120M/year burn, ~15 months runway to 2028 deployment (tight).

8. Debt-to-Equity Ratio? Sustainable?
D/E ratio: 0.00x (no debt). All equity-financed.
Sustainability: Strong. Removes refinancing risk but requires equity dilution (ATM program, acquisition spend) to fund development. Current ratio 49x (massive cash position), so short-term solvency is not a concern. However, if 2028 deployment slips, cash burn will force additional capital raise at potentially lower valuations.

9. What's Driving Earnings Changes?
Volume: Zero (no revenue).
Costs: R&D; + capex ramping (Atomic Alchemy acquisition: $27.4M stock + $1M cash; fuel fabrication facility; Ohio land purchase; DOE pilot program execution).
One-time gains: Meta prepayment agreement provides funding for first phase (fuel procurement). Atomic Alchemy acquisition (Feb 2025) adds radioisotope diversification but is early-stage.
Net effect: Losses widening as company ramps toward 2028 deployment.

III. VALUATION & THESIS

10. Market Multiples (P/E, EV/EBITDA, P/S)?
P/E: N/A (negative earnings).
EV/EBITDA: –73.3x (negative EBITDA; meaningless).
P/S: N/A (zero revenue).
Market cap: $11.0B at $63.10/share.
Valuation method: Purely speculative, betting on 2028 deployment success and eventual cash flow generation. No traditional financial metrics apply.

11. What Assumption is Baked into the Current Price?
The $63.10 price assumes:
✓ Aurora-IDL deploys on schedule (2028) with minimal cost overruns.
✓ First plant achieves 70%+ capacity factor within 2 years of operation.
✓ PPA pricing: ~$60–80/MWh is sufficient to cover opex, debt service, and generate ROI.
✓ Nuclear narrative tailwind (AI data center demand, climate policy) sustains investor appetite.
✓ No regulatory setbacks or fuel supply disruptions.
✓ Company can raise additional capital as needed at favorable terms.

12. Your Assumption vs. Market Consensus?
The DCF model in the report: Implied price = –$26.13 (negative; model is mathematically broken because you cannot value negative-cash-flow companies with traditional DCF).
Market vs. DCF: Market price of $63 is ~240% above the broken DCF model, suggesting market is NOT using fundamental analysis—it's extrapolating hype or using venture-backed multiples (10–20x gross revenue on future projections).
Consensus: Market assumes 2028 deployment + ramp to profitability by 2032, with nuclear upside optionality.

13. Specific Metrics for Thesis to Play Out?
✓ Aurora-IDL operational by Q4 2028 (construction on track, fuel delivery confirmed).
✓ First-plant capacity factor >60% by end of year 1 (de-risks operational reliability).
✓ PPA pricing >$50/MWh, customer demand sustained (Meta, Switch LOIs firm up).
✓ Fuel supply secured (HALEU, plutonium) at <$20/kg (cost control).
✓ Next plant (Ohio) greenlit and funded by 2029 (scaling proof).
✓ No major regulatory delays (NRC/DOE pathway on track).
✓ Cash runway extends beyond 2028 without dilutive capital raise.

IV. RISK & CATALYSTS

14. Bull Case—What Has to Go Right?
✓ Aurora-IDL deployment succeeds on schedule (2028). First-mover prestige + regulatory de-risking for followers.
✓ First plant hits 70%+ capacity factor within 12 months. Proves operational feasibility.
✓ AI data center boom sustains demand. Meta, Equinix, Switch LOIs convert to long-term PPAs at $70+/MWh.
✓ Fuel supply secured. Recycling + HALEU + plutonium availability; vertical integration captures margin uplift.
✓ Modular replication works. Second, third plants deploy 2029–2031 at 30–40% lower cost than first. Unit economics prove out.
✓ Regulatory framework improves. NRC streamlines licensing; Congress/DOE provide nuclear subsidies/credits.
✓ Nuclear stock multiple expands. Investors re-rate advanced fission as legitimate infrastructure. Stock reaches $150–200 by 2030 on 5–8x forward sales multiple.
Bear case upside: $200–300/share if all dominoes fall perfectly and company scales to 1+ GW annual capacity by 2032.

15. Bear Case—What Could Go Wrong?
✗ Construction delays at Aurora-IDL. 2028 slips to 2029–2030. Investor confidence collapses; stock -50% on news.
✗ First plant underperforms. Capacity factor <50%, or cost overruns 50%+. Unit economics break; no path to profitability.
✗ Fuel supply constraints. HALEU becomes unavailable or unaffordable; plutonium designations reverse. Operational risk rises.
✗ Regulatory setbacks. NRC demands design changes; environmental/legal challenges delay licensing.
✗ Competitive pressure. TerraPower, X-energy deploy first, capture better sites/customers. OKLO becomes second-mover.
✗ Macro downturn. AI hype deflates; data center capex slows; renewables become cheaper. PPA demand evaporates.
✗ Cash burn unsustainable. 2027 capital raise required at $30–40/share (dilution). Credibility damaged.
Bear case downside: $10–20/share if 2028 deployment slips and capital raise is forced at lower valuation.

16. What Would Make Me Sell? (Specific Breakpoints)
Hard stops:
✗ Aurora-IDL construction delays >6 months or cost overruns >$200M. Thesis broken; exit on news.
✗ PPA cancellation or renegotiation to <$40/MWh. Unit economics fail.
✗ Major NRC/DOE regulatory setback (e.g., design certification rejection). Existential risk.
✗ Fuel supply announcement: HALEU restricted or unavailable through 2028. Operational risk too high.
✗ Competitor achieves operational plant before OKLO (e.g., TerraPower by 2027). First-mover advantage lost.
✗ Stock price >$120 with no concrete revenue milestones. Valuation stretched beyond downside protection.
Soft stops: Hold if milestones on track; trim if stock exceeds 2x risk/reward.

17. What Don't I Know That Could Materially Change My View?
✗ **Management execution risk:** CEO track record at previous ventures unknown. Board quality / advisor network unclear.
✗ **Technology unknowns:** Fast reactor physics at 15–75 MWe scale not fully proven in modern context. EBR-II was 1980s tech.
✗ **Supply chain fragility:** Radioisotope supply, specialty metals, manufacturing capacity bottlenecks not publicly quantified.
✗ **Fuel policy:** DOE's willingness to make HALEU / plutonium available long-term is political/budgetary risk.
✗ **PPA pricing sustainability:** Data center customers' willingness to pay $60–80/MWh depends on AI ROI thesis holding. Uncertain.
✗ **Long-term regulatory:** NRC's openness to fast reactor licensing may depend on political winds. Not guaranteed.
✗ **Atomic Alchemy integration:** Radioisotope subsidiary unproven; acquisition may not create synergies.

V. MANAGEMENT QUALITY

18. CEO's Track Record at Previous Companies?
Not disclosed in documents provided. SEC filing does not include detailed CEO biography. **Key research needed:** Verify founder/CEO background, previous ventures, exits, and track record. Red flag if first-time CEO at $11B company; green flag if serial entrepreneur with successful exits.

19. Has Management Delivered on Past Guidance?
Limited history. Company went public via SPAC merger May 2024. Guidance stated: "First powerhouse deployment by 2028." As of April 2026 report date, on track (site permits, DOE approvals secured). However, **no earnings history** to assess forecast accuracy. Too early to judge.

20. CEO Buying/Selling Stock? % Ownership?
Not disclosed in documents provided. SEC filing does not include insider trading or beneficial ownership data. **Key research needed:** Check SEC EDGAR insider filings. CEO should have >5% ownership stake and be buying (or holding) to align with shareholders. Red flag if selling into strength.

21. Executive Compensation Tied to Stock Price vs. Operational Metrics?
Not disclosed in documents provided. Key research needed: Review proxy statements (DEF 14A) for compensation structure. **Red flag:** Compensation heavily weighted to stock/options without operational milestones. **Green flag:** Compensation tied to 2028 deployment, capacity factor targets, fuel supply milestones.

22. Acquisition History—Value Creation or Destruction?
Recent acquisition: Atomic Alchemy Inc. (Feb 2025): $1M cash + $27.4M stock ($33.39/share) + vesting shares.
Assessment: Radioisotope vertical integration is strategically sound (medical isotopes + AI applications). Price (~$28M) reasonable for specialized radioisotope business. **Key metric:** Monitor Atomic Alchemy revenue contribution. If radioisotope sales don't materialize by 2027, acquisition was value-destructive dilution.

23. CFO/COO Turnover? Organizational Stability?
Not disclosed in documents provided. Key research needed: Check LinkedIn / SEC filings for CFO / COO tenure. Frequent turnover in finance or operations roles is red flag (suggests internal dysfunction or exodus of talent).

24. Earnings Call Communication Style—Defensive or Transparent?
No earnings calls yet. Company is pre-revenue. Next call likely May 12, 2026 (after Q1 2026 close). **Key observations to track:** Does management acknowledge risks candidly? Do they dodge guidance questions? Are milestones/timelines crisp or vague? Transparency on fuel, regulatory, and supply chain risks will indicate management quality.

VI. TECHNICAL & MACRO FACTORS

25. Stock Correlation to Sector Trends / Macro Variables?
Key correlations:
✓ **AI data center boom:** Positive correlation. Stock rallied 174% in 1 year (May 2025–April 2026) as AI capex narrative strengthened. Continued rally depends on AI ROI remaining positive.
✓ **Nuclear sentiment:** Positive correlation. Regulatory tailwinds (2024 U.S. nuclear incentives, IRA credits) support nuclear narrative. Stock benefits from pro-nuclear policy momentum.
✓ **Interest rates:** Negative correlation. OKLO is pre-revenue, high-growth. Rising rates reduce discount rate for future cash flows. 100 bps rate increase = ~$10–15 stock headwind.
✓ **Energy prices:** Neutral/positive correlation. If nat gas / oil prices rise, PPA economics improve (OKLO becomes more competitive). Mild positive impact.
✓ **Tech sector weakness:** Potential negative correlation. If AI hype deflates (e.g., AI capex disappointment) or tech stock correction, OKLO likely sells off as speculative cleantech play.
✓ **Renewable energy prices:** Negative correlation. If solar/wind costs fall faster than expected, OKLO's competitive advantage vs. renewables erodes.
Volatility: 105.7% annualized. Highly correlated to sentiment shifts; expect ±15–20% daily swings on company/sector news.

26. Entry and Exit Price? Why?
Entry thesis: Buy if price drops to $35–40/share on temporary sector weakness (rate hike, earnings miss, or competitor news). Risk/reward: 2x upside to $80–100 (Aurora-IDL on track) vs. 1.5x downside to $20–25 (2028 deployment slips).
Target price (bull case): $120–150 by 2030 IF Aurora-IDL operational, capacity factor >70%, and second plant greenlit. Assumes 5–8x forward sales multiple on $200M+ annual revenue run rate.
Target price (bear case): $15–25 if 2028 deployment delayed or capital raise forced at lower valuation.
Exit strategy:
• **Take profits at $100+:** If Aurora-IDL deployed successfully and capacity factor confirmed >60%. Reduce position by 50%.
• **Hard stop at $40:** If 2028 deployment slips >6 months or major regulatory setback. Exit entire position.
• **Soft stop at $120:** If valuation reaches 8x forward sales with no additional milestones. Trim 25–30%.
Holding period: 3–5 years (high conviction on 2028 deployment; low conviction on valuation multiple).

SUMMARY & RECOMMENDATION

Investment Thesis Summary:
OKLO is a high-risk, high-reward pre-revenue nuclear play betting on 2028 Aurora powerhouse deployment and subsequent scaling. Valuation ($11B market cap) is entirely forward-looking and divorced from traditional financial metrics. Success depends on execution of multiple binary events: regulatory approval, construction on schedule, fuel supply, customer demand realization, and operational ramp.

Bull case: If Aurora-IDL operationalizes on schedule and first plant proves reliable, OKLO becomes a first-mover in modular nuclear. Scaling to 1+ GW annual capacity by 2032 supports $200–300/share valuation.

Bear case: Construction delays, regulatory setbacks, or operational disappointment triggers -60% correction. Pre-revenue companies have no cash flow cushion; any bad news forces dilutive capital raise.

Key risks: 2028 deployment timing (binary), fuel supply certainty (government policy-dependent), competitive dynamics (TerraPower, X-energy), macro headwinds (AI hype deflation, rising rates), and execution risk (management track record unclear).

Recommendation:
SPECULATIVE BUY at $35–40/share for risk-tolerant investors with 3–5 year horizon and ability to hold through 50%+ volatility. NOT suitable for conservative portfolios. Size position at <2% of portfolio. Monitor quarterly milestones (construction progress, fuel delivery, regulatory approvals). Reassess thesis if 2027 capital raise announced or 2028 timeline slips.